# Internet Appendix to "The Price of Political Partisanship"

In the Internet Appendix, I provide supplementary evidence for the findings in the main body. Sections I-IV document persistence in political stance, address the non-monotonicity in baseline portfolio sorts, evaluate measurement robustness, and assess confounding characteristics. Section V provides descriptive statistics on the data used for the demand-system estimation, as well as on the estimated political leaning of institutional investors. Section VI reports additional analyses, including forward-looking expected-return proxies, alignment-threshold sensitivity, subperiod splits, event-study complements, and industry-interaction tests.

## I. Persistence in Political Leaning

Table IA-1 shows the transition matrix for the observed political stance of a firm based on political contributions of its CEOs. It provides the probabilities that a firm has an overhang in donations to the Democratic or Republican party, or is neutral (i.e., makes no contributions), conditional on the currently observed stance across various accumulation windows. Each month, I sort the firms into three buckets based on the Net Rep. Share (Democratic if Net Rep. Share $< 0$, Neutral if Net Rep. Share $= 0$, and Republican if Net Rep. Share $> 0$), respectively, for periods of 1, 2, and 4 years. Then, for each bucket, I compute the probabilities of ending up in each of those buckets in the subsequent 1, 2, and 4 years. Overall, Republican-leaning firms are highly likely to maintain this stance over the long term, with an average probability of 76% across the subsequent 4-year combinations. Neutral firms tend to remain neutral with an average probability of 80% 1 year ahead. This, however, drops to an average of 49% over the 4-year period. In contrast to Republican and Neutral firms, Democratic-leaning firms have higher probabilities of switching their political stance, regardless of the period under investigation.

**Table IA-1: Transition Probabilities of Political Leaning**

This table shows the probabilities of a firm showing a certain party leaning in its CEOs' future political donations (in the subsequent 1, 2, or 4 years) after respectively observing a specific leaning in historical donations (in the past 1, 2, or 4 years). Dem. defines the state when a firm's CEO made more contributions toward Democratic candidates or affiliated PACs in the given time period. Rep. defines the state when a firm's CEO made more contributions toward Republican candidates or affiliated PACs in the given time period. Neut. defines the state when a firm's CEO has not made any political contributions in the given time period.

| | Dem.$_{[t:t+1)}$ | Neut.$_{[t:t+1)}$ | Rep.$_{[t:t+1)}$ | Dem.$_{[t:t+2)}$ | Neut.$_{[t:t+2)}$ | Rep.$_{[t:t+2)}$ | Dem.$_{[t:t+4)}$ | Neut.$_{[t:t+4)}$ | Rep.$_{[t:t+4)}$ |
|---|---|---|---|---|---|---|---|---|---|
| Dem.$_{[t-1:t)}$ | 0.47 | 0.20 | 0.33 | 0.50 | 0.11 | 0.39 | 0.48 | 0.06 | 0.45 |
| Neut.$_{[t-1:t)}$ | 0.08 | 0.77 | 0.16 | 0.12 | 0.63 | 0.25 | 0.17 | 0.45 | 0.37 |
| Rep.$_{[t-1:t)}$ | 0.14 | 0.18 | 0.67 | 0.15 | 0.11 | 0.75 | 0.14 | 0.06 | 0.80 |
| | | | | | | | | | |
| Dem.$_{[t-2:t)}$ | 0.44 | 0.26 | 0.30 | 0.48 | 0.16 | 0.36 | 0.48 | 0.09 | 0.43 |
| Neut.$_{[t-2:t)}$ | 0.06 | 0.81 | 0.12 | 0.11 | 0.68 | 0.21 | 0.16 | 0.50 | 0.34 |
| Rep.$_{[t-2:t)}$ | 0.14 | 0.24 | 0.62 | 0.15 | 0.15 | 0.71 | 0.14 | 0.09 | 0.77 |
| | | | | | | | | | |
| Dem.$_{[t-4:t)}$ | 0.40 | 0.33 | 0.28 | 0.45 | 0.22 | 0.34 | 0.46 | 0.13 | 0.40 |
| Neut.$_{[t-4:t)}$ | 0.06 | 0.83 | 0.11 | 0.10 | 0.71 | 0.19 | 0.16 | 0.52 | 0.32 |
| Rep.$_{[t-4:t)}$ | 0.14 | 0.29 | 0.57 | 0.14 | 0.20 | 0.66 | 0.15 | 0.12 | 0.73 |

# II. Non-Monotonicity

As discussed in Section 2.3 of the main text, the unconditional portfolio sorts exhibit a non-monotonic pattern driven by a size confound. Table 5 in the main text resolves this via conditional double sorts. Two complementary tests are reported below.

Table IA-2 replaces the continuous partisanship measure with indicators for low-partisan firms ($0 <$ Partisanship $\leq 2/3$) and high-partisan firms (Partisanship $> 2/3$), with neutral firms as the reference category. Both indicators are significantly negative, and the high-partisan coefficient is significantly larger in absolute value, confirming monotonicity.

**Table IA-2: Fama-MacBeth Regression with Partisanship Level Dummies**
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. Instead of the continuous partisanship measure of Table 4, I include two dummy variables indicating the magnitude of partisanship. The first dummy variable is 1 if a firm's political partisanship is greater than 0 and less than or equal to 2/3, 0 otherwise. The second dummy variable is 1 if a firm's political partisanship is greater than 2/3, 0 otherwise. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | |
|---|---|
| $\mathbb{1}(0 < \text{Partisanship} \leq 2/3)$ | -0.14** |
| | (-2.48) |
| $\mathbb{1}(\text{Partisanship} > 2/3)$ | -0.22*** |
| | (-3.53) |
| Controls | Yes |
| Industry FE | Yes |
| Observations | 607,658 |
| $R^2$ | 0.27 |

Table IA-3 re-estimates the baseline Fama-MacBeth regression within the subsample of firms that have deviated from neutrality, isolating the intensive margin. The coefficient remains negative and highly significant (-0.08 with a $t$-statistic of -5.57).

**Table IA-3: Fama-MacBeth Regression within Donors**

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. Compared to Table 4, the sample is restricted to firms whose CEOs at one point in the past have made political contributions, i.e., its current or previous CEOs have made political contributions in the past. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | |
|---|---|
| Partisanship | -0.08*** |
| | (-5.57) |
| Controls | Yes |
| Industry FE | Yes |
| Observations | 499,810 |
| $R^2$ | 0.28 |

# III. Measurement Robustness

To ensure that the observed partisanship discount is not driven by specific portfolio construction choices or by the definition and aggregation of the partisanship measure, this section presents several robustness checks. Particularly, these tests examine whether the baseline results hold when (1) alternative portfolio sorting schemes are used, (2) portfolio returns are computed differently, (3) the definition of political partisanship is modified, and (4) the aggregation window for the political leaning variable is varied.

Table IA-4 shows the results of portfolio sorts with an increased lag in the assumed availability of the partisanship measure. Whereas the baseline specification in Table 2 uses firms' partisanship at the beginning of the month over which returns are computed, in Table IA-4 I use partisanship with a six-month lag. The results do not significantly deviate from the baseline setting.

Table IA-5 presents results from an alternative portfolio sort in which firms are assigned to tercile portfolios based on their political partisanship. This contrasts

**Table IA-4: Lagged Portfolio Sorting**

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship with a six-month lag. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | L | M | H | H-L |
|---|---|---|---|---|
| E[R]-$R_f$ (%) | 1.57*** | 1.13*** | 1.15*** | -0.41*** |
| | (4.85) | (4.29) | (4.16) | (-4.62) |
| $\alpha_{FF6}$ | 0.83*** | 0.32*** | 0.33*** | -0.50*** |
| | (8.27) | (5.91) | (4.81) | (-6.34) |

with the baseline specification in Table 2, which groups firms into a neutral group and then splits partisan firms at the median of nonzero values. While the sorting methodology differs, the findings are qualitatively unchanged. Firms with stronger political leanings continue to underperform those with low observed partisanship in terms of excess returns and FF6 alphas.

**Table IA-5: Tercile Portfolio Sorting**

This table presents the average monthly excess returns for three portfolios. The portfolios are constructed by splitting all firms into terciles based on political partisanship. Compared to Table 2, politically neutral firms are not separated before the sorting. L are low partisanship firms (including politically neutral firms), H are high partisanship firms, and H-L is the high-minus-low portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | L | M | H | H-L |
|---|---|---|---|---|
| E[R]-$R_f$ (%) | 1.44*** | 1.14*** | 1.16*** | -0.28*** |
| | (4.91) | (4.17) | (4.24) | (-3.96) |
| $\alpha_{FF6}$ | 0.71*** | 0.32*** | 0.36*** | -0.35*** |
| | (7.83) | (5.13) | (5.10) | (-5.76) |

Table IA-6 reports value-weighted portfolio returns.[1] The high-minus-neutral spread remains significant at -22 bp per month (see Section 2.3 for discussion). Table IA-7 reports weighted least squares Fama-MacBeth estimates. The coefficient magnitude is stable relative to the OLS baseline.

**Table IA-6: Value-Weighted Returns**

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the excess return weighted by firms' market capitalization, winsorized at the NYSE 80th percentile, and corresponding FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | N | L | H | H-N |
|---|---|---|---|---|
| E[R]-$R_f$(%) | 1.04*** | 0.82*** | 0.82*** | -0.22** |
| | (3.54) | (3.63) | (3.39) | (-2.36) |
| $\alpha_{FF6}$ | 0.34*** | 0.07* | 0.05 | -0.29*** |
| | (5.31) | (1.81) | (0.99) | (-4.24) |

Having established that the discount is robust to portfolio construction and return-weighting choices, I next assess its sensitivity to the definition of the partisanship measure itself, varying the scaling, the underlying donation source, and the assumed memory length of the aggregation window. The baseline measure, constructed as the absolute value of the cumulative net Republican share of CEO donations (Section 2.1), offers several advantages for capturing perceived political identity, but the discount should not depend on specific measurement choices.

Prior literature typically relies on a single measure of political affiliation, such as the normalized share of individuals' net Republican donations (Hong and Kostovetsky, 2012; Lee et al., 2014; Wintoki and Xi, 2020), individuals' net Republican donations in dollars (Cohen et al., 2019), net Republican donations of PACs (Christensen et al., 2022), or the number of candidates supported by corporate PAC contributions (Cooper et al., 2010). The diversity of their findings implicitly underscores the sensitivity of empirical outcomes to the operationalization of political leaning.

[1] To ensure that mega stocks do not dominate portfolio construction here, I weight stocks by their market equity, winsorized at the NYSE 80th percentile, following Jensen et al. (2023).

**Table IA-7: Fama-MacBeth Regression with Weighted-Least Squares**
This table shows the results from weighted least squares Fama-MacBeth regressions with the market equity as the weights, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | |
|---|---|
| Partisanship | -0.17* |
| | (-1.82) |
| Controls | Yes |
| Industry FE | Yes |
| Observations | 607,658 |
| $R^2$ | 0.27 |

I employ several alternative constructions to validate the robustness of the partisanship discount with respect to the measurement of political leaning. First, I consider the dollar value of net Republican donations cumulated over the previous four years. Panel A of Table IA-8 reveals that the high-minus-neutral portfolio remains significantly negative, with an economically substantial monthly return differential and corresponding negative FF6 alpha. This confirms that the discount is robust to using absolute monetary contributions rather than a normalized share.

Second, I use PAC partisanship as an alternative, firm-level measure of perceived political stance, constructed from contributions by firm-affiliated PACs rather than from the CEO's personal donations. The two proxies differ in signal content. CEO contributions are attributable to a single, identifiable individual and, as discussed in Section 2.2, more likely to reflect ideological motivation, whereas PAC giving aggregates contributions across executives, employees, and shareholders and serves a broader, access-oriented function. PAC partisanship is therefore a complementary, if noisier, proxy for the firm's perceived ideological identity. Panel B of Table IA-8 confirms that the partisanship discount persists under this measure, with a high-minus-neutral spread and factor-adjusted alpha comparable to the CEO-based

**Table IA-8: Alternative Partisanship Measures**

This table presents the average monthly excess returns for three portfolios constructed based on different measures of firms' perceived political partisanship. Panel A uses the net Republican dollar donations over a four-year rolling window to define partisanship. Panel B uses the historical net Republican share in firm-level PAC contributions to define partisanship. Panel C uses the historical net Republican share solely of the currently incumbent CEO's contributions to define partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | N | L | H | H-N |
|---|---|---|---|---|
| **Panel A: CEO Net Donations** | | | | |
| E[R]-$R_f$(%) | 1.48*** | 1.20*** | 1.10*** | -0.37*** |
| | (4.88) | (4.45) | (4.13) | (-4.34) |
| $\alpha_{FF6}$ | 0.72*** | 0.43*** | 0.28*** | -0.44*** |
| | (7.60) | (6.49) | (4.96) | (-6.44) |
| **Panel B: PAC Partisanship** | | | | |
| E[R]-$R_f$(%) | 1.39*** | 0.96*** | 0.93*** | -0.46*** |
| | (4.66) | (3.93) | (3.62) | (-3.51) |
| $\alpha_{FF6}$ | 0.62*** | 0.19*** | 0.02 | -0.60*** |
| | (6.98) | (3.29) | (0.29) | (-5.62) |
| **Panel C: Incumbent CEO Partisanship** | | | | |
| E[R]-$R_f$(%) | 1.41*** | 1.18*** | 1.21*** | -0.20*** |
| | (4.75) | (4.40) | (4.34) | (-3.56) |
| $\alpha_{FF6}$ | 0.64*** | 0.39*** | 0.40*** | -0.24*** |
| | (6.90) | (7.17) | (5.89) | (-4.52) |

baseline. The robustness of the discount to a measure that does not rely on any single executive's giving indicates that the pricing effect reflects a firm-level perceived political orientation rather than an idiosyncratic feature of CEO-level measurement. This distinction also clarifies the relation to Cooper et al. (2010), whose candidate-count measure captures the breadth of PAC support and is associated with higher returns, whereas the net tilt of the same PAC giving is associated with lower returns (Panel B). Access and ideological salience are thus distinct, and distinctly priced, dimensions of political engagement.

Third, Panel C of Table IA-8 constructs the partisanship measure solely from the incumbent CEO's cumulative donation history, excluding all contributions made by previous CEOs. Under the baseline construction, a predecessor's donations continue to define a firm's stance after leadership turnover. The incumbent-only measure removes this legacy component entirely, classifying a firm as neutral until its current CEO has donated. The high-minus-neutral spread remains negative and significant at -20 bp per month, with an FF6 alpha of -24 bp. The spread is attenuated relative to the baseline, as expected if the discarded predecessor histories carry pricing-relevant reputational content that investors continue to condition on.

Finally, recognizing that political leaning may vary more strongly over time than the baseline measure allows, I reassess partisanship using shorter aggregation windows (4-, 2-, and 1-year rolling windows). Shorter windows allow firms to revert toward neutrality over time, accommodating a fading-memory interpretation of political identity.[2] Table IA-9 illustrates that the discount remains economically meaningful and statistically significant across all window lengths, as expected, given that the donation behavior of CEOs is relatively persistent over time.

Across all alternative measures, the partisanship discount remains economically meaningful and statistically significant, confirming that the baseline finding is not an artifact of a specific measurement choice.

Relatedly, the partisanship measure may be noisier early in a CEO's tenure, when the incumbent's observable donation history is short. Table IA-10 therefore restricts

[2] In Table IA-17, I also provide results going in the opposite direction in terms of changes in aggregation periods, using a static partisanship measure based on political contributions aggregated over the full sample period.

**Table IA-9: Dynamic Partisanship Measure**

This table presents the average monthly excess returns for three portfolios constructed based on different versions of the baseline measure of firms' perceived political partisanship as defined in Section 2.1. Panel A uses a four-year rolling window to aggregate the net Republican share, Panel B uses a two-year rolling window to aggregate the net Republican share, and Panel C uses a one-year rolling window to aggregate the net Republican share. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | N | L | H | H-N |
|---|---|---|---|---|
| **Panel A: 4-Year Rolling Window** | | | | |
| E[R]-$R_f$ (%) | 1.48*** | 1.14*** | 1.17*** | -0.31*** |
| | (4.88) | (4.42) | (4.18) | (-4.40) |
| $\alpha_{FF6}$ | 0.72*** | 0.34*** | 0.37*** | -0.35*** |
| | (7.60) | (5.85) | (5.32) | (-5.67) |
| **Panel B: 2-Year Rolling Window** | | | | |
| E[R]-$R_f$ (%) | 1.42*** | 1.15*** | 1.13*** | -0.29*** |
| | (4.78) | (4.46) | (4.10) | (-4.38) |
| $\alpha_{FF6}$ | 0.66*** | 0.35*** | 0.33*** | -0.33*** |
| | (7.30) | (6.72) | (4.78) | (-6.24) |
| **Panel C: 1-Year Rolling Window** | | | | |
| E[R]-$R_f$ (%) | 1.37*** | 1.16*** | 1.14*** | -0.23*** |
| | (4.65) | (4.47) | (4.20) | (-3.18) |
| $\alpha_{FF6}$ | 0.60*** | 0.36*** | 0.33*** | -0.27*** |
| | (7.00) | (6.48) | (4.76) | (-4.78) |

the sample to firm-months in which the current CEO has held the position for at least 24 months or 36 months. The coefficient on partisanship is virtually identical to the baseline estimate under both restrictions, indicating that the discount is not driven by firms with newly appointed CEOs and sparse donation records.

**Table IA-10: Fama-MacBeth Regression with CEO Tenure Restriction**
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over two different sample periods. Compared to Table 4, in Model (1) the sample is restricted to firm-months in which the current CEO's tenure is at least 24 months and at least 36 months in Model (2). Both models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | CEO Tenure $\geq$ 24<br>(1) | CEO Tenure $\geq$ 36<br>(2) |
|---|---|---|
| Partisanship | -0.18*** | -0.18*** |
| | (-3.74) | (-3.55) |
| Controls | Yes | Yes |
| Industry FE | Yes | Yes |
| Observations | 415,583 | 367,833 |
| $R^2$ | 0.30 | 0.30 |

# IV. Confounding Characteristics

In this section, I assess whether the partisanship discount can be explained by conventional firm-level characteristics commonly associated with asset pricing anomalies. While the main body of the paper already demonstrates that the effect of political partisanship is robust to controls for firm size and other observables in Fama-MacBeth regressions (see Table 4), and also holds in size-conditioned portfolio sorts (see Table 5), it remains important to directly investigate whether the return differential between partisan and neutral firms persists within finer partitions of the cross-section sorted by other firm fundamentals.

Table IA-11 reports results from a series of double-sorts in which firms are first sorted into terciles based on a given firm characteristic and then further sorted into three portfolios based on political partisanship within each characteristic group. This procedure is repeated across several characteristics: book-to-market ratio (Panel A), momentum (Panel B), profitability (Panel C), and idiosyncratic volatility (Panel D). The objective is to test whether the partisanship return differential survives within portfolios of firms that are otherwise similar along these dimensions.

Across all firm characteristics, I find that the return differential between the most partisan and neutral firms remains statistically significant within all terciles. This reaffirms the interpretation that the partisanship discount is distinct from known cross-sectional return patterns.

Furthermore, I provide an adaptation of the portfolio sort using a return construction that controls for exposures to firm-level characteristics. That is, I use returns in excess of characteristic-based benchmarks following Daniel et al. (1997), which control for expected return differences due to size, book-to-market ratio, and momentum, rather than just computing returns in excess of the risk-free rate in the baseline setting.[3] Table IA-12 shows the results.

Lastly, Table IA-13 addresses the concern that partisanship proxies for characteristics of the CEO rather than of the firm. The baseline Fama-MacBeth regression is augmented with the logarithm of CEO tenure, CEO age, the logarithm of total compensation, and the CEO's equity ownership. While several CEO characteristics enter with marginal significance, the coefficient on partisanship remains negative and significant, confirming that executive-level traits do not subsume the discount.

[3] To compute the benchmark-adjusted returns for each stock, I form five $\times$ five $\times$ five portfolios based on size, book-to-market ratio, and momentum. At the beginning of each month, I sort firms into quintile portfolios by market capitalization. Then, the firms in each size group are further sorted into quintile portfolios by book-to-market ratio. Lastly, firms in each of the 25 size and book-to-market portfolios are sorted into quintiles based on previous 12-month returns. For all 125 portfolios, I calculate value-weighted returns. Finally, each stock is assigned to one of those portfolios, and the return of each portfolio is then used as the respective benchmark.

**Table IA-11: Bivariate Portfolio Sorting**

This table presents the average monthly excess returns for three × three portfolios dependently sorted on a selection of firm characteristics and then on firms' level of partisanship. The rows represent the sorting on the respective firm characteristics with L being the bottom tercile, M being middle tercile, and H being the top tercile. In Panel A, firms are first sorted by book-to-market ratio. In Panel B, firms are first sorted by momentum. In Panel C, firms are first sorted by profitability. In Panel D, firms are first sorted by idiosyncratic volatility. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | E[R]-$R_f$ (%) | | | | $\alpha_{FF6}$ | | | |
|---|---|---|---|---|---|---|---|---|
| | N | L | H | H-N | N | L | H | H-N |
| **Panel A: B/M** | | | | | | | | |
| L | 1.62*** | 1.05*** | 1.09*** | -0.53*** | 0.88*** | 0.26*** | 0.34*** | -0.54*** |
| | (4.54) | (4.23) | (3.91) | (-4.76) | (8.33) | (5.03) | (4.61) | (-5.80) |
| M | 1.28*** | 0.97*** | 1.01*** | -0.26*** | 0.48*** | 0.13** | 0.15** | -0.33*** |
| | (4.34) | (4.31) | (3.90) | (-3.06) | (4.27) | (2.14) | (2.11) | (-3.73) |
| H | 1.82*** | 1.34*** | 1.33*** | -0.49*** | 1.12*** | 0.57*** | 0.54*** | -0.58*** |
| | (4.34) | (3.91) | (3.66) | (-3.58) | (5.22) | (5.53) | (4.03) | (-3.59) |
| **Panel B: MOM** | | | | | | | | |
| L | 1.48*** | 1.19*** | 1.17*** | -0.31*** | 0.97*** | 0.58*** | 0.55*** | -0.43*** |
| | (3.60) | (3.16) | (3.05) | (-3.08) | (5.53) | (5.08) | (3.91) | (-3.79) |
| M | 1.31*** | 0.98*** | 0.98*** | -0.32*** | 0.53*** | 0.17*** | 0.17*** | -0.36*** |
| | (4.90) | (4.30) | (4.20) | (-4.25) | (7.04) | (3.08) | (3.78) | (-5.09) |
| H | 1.87*** | 1.23*** | 1.32*** | -0.56*** | 0.92*** | 0.28*** | 0.33*** | -0.58*** |
| | (5.49) | (4.97) | (4.81) | (-4.82) | (7.99) | (4.28) | (4.56) | (-6.19) |
| **Panel C: Profitability** | | | | | | | | |
| L | 1.99*** | 1.26*** | 1.25*** | -0.74*** | 1.42*** | 0.59*** | 0.58*** | -0.85*** |
| | (4.99) | (3.94) | (3.78) | (-5.08) | (8.10) | (5.63) | (6.11) | (-6.83) |
| M | 1.34*** | 1.06*** | 1.14*** | -0.20** | 0.53*** | 0.19*** | 0.26*** | -0.27*** |
| | (4.63) | (4.14) | (4.10) | (-2.36) | (6.97) | (3.24) | (3.29) | (-3.70) |
| H | 1.50*** | 1.07*** | 1.10*** | -0.41*** | 0.64*** | 0.22*** | 0.24*** | -0.40*** |
| | (5.24) | (4.72) | (4.56) | (-4.38) | (5.72) | (3.60) | (2.91) | (-4.52) |
| **Panel D: IVOL** | | | | | | | | |
| L | 1.02*** | 0.82*** | 0.87*** | -0.15*** | 0.28*** | 0.05 | 0.08 | -0.20*** |
| | (4.69) | (4.14) | (4.31) | (-2.59) | (3.24) | (0.73) | (1.34) | (-3.07) |
| M | 1.34*** | 1.06*** | 1.04*** | -0.30*** | 0.53*** | 0.21*** | 0.18*** | -0.35*** |
| | (4.79) | (4.08) | (4.13) | (-4.13) | (6.56) | (3.92) | (3.12) | (-4.12) |
| H | 2.14*** | 1.60*** | 1.56*** | -0.59*** | 1.47*** | 0.82*** | 0.82*** | -0.65*** |
| | (4.62) | (3.89) | (3.68) | (-4.01) | (6.97) | (4.88) | (4.39) | (-4.56) |

**Table IA-12: Characteristic-based Benchmark Returns**

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the equally-weighted average return in excess of characteristic-based benchmarks following Daniel et al. (1997) and corresponding FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | N | L | H | H-N |
|---|---|---|---|---|
| E[R]-$R_{BM}$(%) | 0.75*** | 0.32*** | 0.34*** | -0.41*** |
| | (9.83) | (6.66) | (5.65) | (-6.71) |
| $\alpha_{FF6}$ | 0.72*** | 0.24*** | 0.27*** | -0.45*** |
| | (10.48) | (8.24) | (5.62) | (-7.36) |

**Table IA-13: Fama-MacBeth Regression with CEO Characteristics**
This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and characteristics of the current CEO. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. Both models include industry fixed effects based on 2-digit SIC codes. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | |
|---|---|
| Partisanship | -0.14*** |
| | (-2.86) |
| Log CEO Tenure | 0.04* |
| | (1.67) |
| CEO Age | -0.07** |
| | (-2.51) |
| Log CEO Compensation | 0.07** |
| | (2.02) |
| CEO Equity Ownership | 0.04* |
| | (1.91) |
| Log ME | -0.27*** |
| | (-3.38) |
| Log B/M | 0.02 |
| | (0.22) |
| Profitability | -0.10 |
| | (-1.23) |
| Leverage | -0.10 |
| | (-1.18) |
| Tangibility | -0.03 |
| | (-0.66) |
| Earnings Growth | -0.02 |
| | (-0.12) |
| MOM | 0.03 |
| | (0.18) |
| $\beta_{MKT}$ | 0.04 |
| | (0.40) |
| IVOL | -0.07 |
| | (-0.72) |
| Industry FE | Yes |
| Observations | 480,472 |
| $R^2$ | 0.29 |

# V. Investor Demand Statistics

This section provides descriptive statistics that complement the demand-system estimation introduced in Section 3.1. The statistics characterize the investor-level input data used in the estimation and summarize the resulting distribution of estimated demand for political leaning.

Table IA-14 presents summary statistics on the institutional investor sample drawn from FactSet portfolio holdings, covering the period from 1999 to 2022.

**Table IA-14: Investor Characteristics**
This table shows summary statistics on portfolio holdings of institutional investors. The provided statistics are computed each quarter across the different types of investors and then averaged over time. I report the number of individual investors (N), assets under management in USD Mill (AUM), and the total market share (AUM Share).

| Type | N | AUM | AUM Share |
|---|---|---|---|
| Large-Passive IA | 12 | 3,030,983.57 | 0.20 |
| Small-Passive IA | 828 | 2,105,481.93 | 0.14 |
| Small-Active IA | 821 | 1,864,009.12 | 0.13 |
| Large-Active IA | 13 | 1,642,777.69 | 0.11 |
| Hedge Funds | 436 | 435,805.52 | 0.03 |
| Long-Term | 74 | 458,877.17 | 0.03 |
| Private Banking | 562 | 449,382.42 | 0.03 |
| Brokers | 43 | 172,241.19 | 0.01 |
| Public Funds | 8 | 109,633.98 | 0.01 |
| Residual Sector | 1 | 4,322,524.96 | 0.31 |

Table IA-15 reports summary statistics on the estimated demand for political leaning across different investor types. While the average leaning across investor types is often close to neutral, a clear pattern emerges when examining the dispersion measures. Investor types typically associated with more active or discretionary investment strategies, such as hedge funds, private banking, brokers, and (by definition) active investment advisors, exhibit considerably greater heterogeneity in their estimated ideological preferences. This is evident in both the standard deviation and the range between the 25th (5th) and 75th (95th) percentiles. These findings align with the notion that more active investors are more likely to express ideological preferences through their portfolio choices, contributing to the observed pricing effects of political partisanship.

**Table IA-15: Summary Statistics on Demand for Political Leaning**
This table shows summary statistics for the estimated demand for a certain political leaning across the different types of institutional investors. I report mean, standard deviation (Std), 5th percentile (P5), 25th percentile (P25), median, 75th percentile (P75), and 95th percentile (P95) of the estimated coefficient on firm-level political leaning.

| Type | Mean | Std | P5 | P25 | Median | P75 | P95 |
|---|---|---|---|---|---|---|---|
| Large-Passive IA | 0.03 | 0.06 | -0.07 | 0.00 | 0.03 | 0.07 | 0.12 |
| Small-Passive IA | 0.04 | 0.09 | -0.10 | -0.02 | 0.04 | 0.09 | 0.19 |
| Small-Active IA | 0.03 | 0.12 | -0.16 | -0.04 | 0.03 | 0.11 | 0.23 |
| Large-Active IA | -0.03 | 0.11 | -0.22 | -0.08 | -0.02 | 0.05 | 0.13 |
| Hedge Funds | -0.01 | 0.06 | -0.11 | -0.05 | -0.01 | 0.03 | 0.10 |
| Long-Term | 0.03 | 0.06 | -0.05 | -0.00 | 0.02 | 0.06 | 0.12 |
| Private Banking | 0.03 | 0.11 | -0.15 | -0.04 | 0.03 | 0.10 | 0.20 |
| Brokers | -0.01 | 0.08 | -0.14 | -0.06 | -0.01 | 0.04 | 0.11 |
| Public Funds | 0.00 | 0.05 | -0.09 | -0.00 | 0.02 | 0.03 | 0.05 |
| Residual Sector | 0.06 | 0.05 | -0.00 | 0.03 | 0.05 | 0.09 | 0.14 |

# VI. Additional Empirical Results

## VI.1. Forward-looking Proxy for Expected Returns

Throughout most of this paper's analysis, realized returns are used as proxies for expected returns. However, realized returns are contaminated by cash-flow and discount rate news, and if these news components do not cancel out on average, realized returns cannot be interpreted as unbiased proxies for expected returns (see Elton, 1999). To complement the baseline evidence, I therefore examine a forward-looking proxy, namely option-implied expected returns, in the spirit of Martin and Wagner (2019). Based on stock option prices, these expected returns are available for forecast horizons ranging from 30 to 730 days. The data, covering the universe of stocks in OptionMetrics with sufficient data quality, are the same as those constructed in Pasler et al. (2025).[4] Table IA-16 reports monthly panel regressions of annualized option-implied expected returns on firm-level partisanship across the

[4] To reduce the impact of outliers, I winsorize the expected returns per forecast horizon at the 2.5% level in both tails.

five forecast horizons. The estimates are negative throughout, indicating that firms with a clearer partisan identity tend to exhibit lower forward-looking expected returns than politically neutral firms. However, this relation is statistically significant only at the longest horizon, 730 days. At this horizon, a stronger deviation from political neutrality is associated with 37 bp lower expected returns on average over time. This pattern is consistent with the view that short-horizon option-implied expected returns are comparatively noisy. In contrast, longer-horizon expected-return measures more clearly capture persistent valuation differences due to partisanship.

## VI.2. Full Sample Political Stance

Some previous works investigating the political activities of firms and their executives used static measures, such as political contributions aggregated over the full sample period. Disregarding the variation over time, whether due to genuine ideological change or strategic considerations, and ignoring the forward-looking bias, this approach arguably provides a clearer measure of true ideological leaning. Therefore, I redo the portfolio sorting using the partisanship measure for each firm, aggregated over the full sample period. Table IA-17 shows that the main results are mostly robust to this change. The average returns of the partisanship portfolios are slightly higher, and consequently the high-minus-neutral return is slightly reduced. This is expected, considering that the results of Section 3.3 show that this long-term average underperformance of partisan firms only realizes once firms actually start showing a deviation from a neutral stance.

## VI.3. Investors' Ideological Leaning

A key design choice in the alignment test of Table 9 is the percentile threshold used to classify a firm's shareholder base as ideologically tilted. The baseline specification uses the 25th and 75th percentiles of the cross-sectional distribution of aggregated investor demand to define Democratic- and Republican-leaning shareholder bases, respectively. To assess the sensitivity of this classification, Table IA-18 reports the coefficient on the partisanship-alignment interaction across a range of threshold percentiles, from the median (50/50) to the 10th/90th percentile.

**Table IA-16: Option-Implied Expected Returns Regression**

This table shows the results from monthly panel regressions, in which annualized option-implied expected returns, in the spirit of Martin and Wagner (2019), are regressed across different forecast horizons on firms' political partisanship. The sample covers the period from 1996 to 2022. I include month × industry fixed effects based on 2-digit SIC codes. The control variables are standardized. The $t$-statistics shown in parentheses are calculated using standard errors clustered at the firm and month level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | 30 days<br>(1) | 91 days<br>(2) | 182 days<br>(3) | 365 days<br>(4) | 730 days<br>(5) |
|---|---|---|---|---|---|
| Partisanship | -0.36 | -0.32 | -0.29 | -0.31 | -0.39* |
| | (-0.86) | (-1.48) | (-1.63) | (-1.65) | (-1.83) |
| Log ME | -8.34*** | -4.35*** | -3.63*** | -3.89*** | -4.43*** |
| | (-15.36) | (-14.59) | (-14.07) | (-14.06) | (-14.03) |
| Log B/M | 3.74*** | 1.34*** | 0.80*** | 0.53** | -0.06 |
| | (5.37) | (3.87) | (2.97) | (2.20) | (-0.30) |
| Profitability | -3.23*** | -1.99*** | -1.78*** | -1.95*** | -2.36*** |
| | (-9.92) | (-10.99) | (-11.47) | (-11.80) | (-13.03) |
| Leverage | 2.13*** | 0.89*** | 0.60*** | 0.44*** | 0.13 |
| | (5.42) | (4.62) | (3.99) | (3.34) | (1.18) |
| Tangibility | -0.82*** | -0.50*** | -0.45*** | -0.51*** | -0.62*** |
| | (-3.01) | (-3.63) | (-3.89) | (-4.17) | (-4.55) |
| Earnings Growth | -0.49 | -0.22 | -0.21 | -0.15 | -0.02 |
| | (-1.57) | (-1.22) | (-1.28) | (-0.88) | (-0.12) |
| MOM | -2.58*** | -1.28*** | -0.99*** | -0.91*** | -0.82** |
| | (-5.06) | (-4.18) | (-3.55) | (-2.96) | (-2.36) |
| $\beta_{MKT}$ | 1.88*** | 1.44*** | 1.38*** | 1.36*** | 1.57*** |
| | (4.87) | (5.49) | (5.61) | (5.17) | (5.09) |
| IVOL | 7.18*** | 5.07*** | 4.67*** | 5.07*** | 5.88*** |
| | (6.55) | (6.46) | (6.36) | (6.31) | (6.17) |
| Industry × Month FE | Yes | Yes | Yes | Yes | Yes |
| Observations | 438,521 | 437,883 | 437,460 | 436,815 | 435,172 |
| Adjusted $R^2$ | 0.36 | 0.44 | 0.47 | 0.48 | 0.52 |

**Table IA-17: Full Sample Portfolio Sorting**

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship aggregated over the full sample period. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | N | L | H | H-N |
|---|---|---|---|---|
| $E[R]-R_f$ (%) | 1.49*** | 1.24*** | 1.24*** | -0.25** |
| | (4.64) | (4.61) | (4.41) | (-2.42) |
| $\alpha_{FF6}$ | 0.80*** | 0.46*** | 0.44*** | -0.36*** |
| | (6.40) | (7.11) | (5.86) | (-3.47) |

Panel A uses the active-investor-restricted aggregation from the baseline panel specification. The interaction is economically small and statistically insignificant at the median cutoff, where the alignment dummy captures only mild tilts in investor demand. As the threshold becomes more extreme, the interaction coefficient increases monotonically in absolute value and becomes statistically significant from the (40,60) cutoff onward, reaching -0.64 at the (10,90) cutoff. This gradient confirms that the pricing effect is concentrated among firms whose shareholder base exhibits a strong, unambiguous ideological tilt, consistent with a mechanism that requires a meaningful demand wedge rather than marginal differences in investor composition.

Panel B repeats the exercise aggregating over all investors, including passive funds. The interaction coefficient is generally smaller in magnitude and statistically significant only at more extreme thresholds (80/20 and 90/10), reinforcing the finding that the inclusion of passive investors dilutes the alignment signal. Panel C reports the corresponding estimates from Fama-MacBeth regressions with the active-investor restriction. The pattern closely mirrors that of Panel A.

Panel D addresses a potential look-ahead concern by constructing alignment from one-year-lagged investor preferences. The gradient is similar to Panel A, with the interaction becoming significant from the quartile threshold onward, ruling out mechanical contamination from within-year holdings data.

**Table IA-18: Investors' Ideological Preferences Threshold Sensitivity**
This table presents the coefficient on the interaction of firms' political partisanship and a measure of ideological alignment with investors from the regression model as in Model (2) of Table 9 in the main part. Each column represents a regression using different percentile thresholds to indicate the ideological leaning of a firm's shareholders, based on aggregated stock-level investors' ideological preferences. If stock-level-aggregated investors' ideological preferences are below the left percentile, this indicates a Democratic leaning of a firm's shareholders. If stock-level-aggregated investors' ideological preferences are above the right percentile, this indicates a Republican leaning of a firm's shareholders. Panels A, B, and D show the coefficients from panel regressions, whereas Panel C shows the coefficients from Fama-MacBeth regressions. In Panels A, C, and D, the stock-level aggregation of investors' ideological preferences is restricted to active institutional investors. Panel B aggregates ideological preferences over all investors. In Panel D, one-year-lagged investors' ideological preferences are used for stock-level aggregation. The sample covers the period from 1999 to 2022. The $t$-statistics shown in parentheses are calculated using standard errors clustered at the firm and month level for the panel regression and Newey-West corrected standard errors for the Fama-MacBeth regressions. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| Threshold | (50,50) | (40,60) | (30,70) | (25,75) | (20,80) | (10,90) |
|---|---|---|---|---|---|---|
| **Panel A: Panel Regression - Active Investors** | | | | | | |
| Partisanship × | -0.01 | -0.26** | -0.44*** | -0.43*** | -0.42*** | -0.64*** |
| Investor Alignment | (-0.05) | (-2.28) | (-3.74) | (-3.24) | (-3.14) | (-4.06) |
| **Panel B: Panel Regression - All Investors** | | | | | | |
| Partisanship × | -0.03 | -0.08 | -0.20 | -0.17 | -0.30** | -0.35** |
| Investor Alignment | (-0.24) | (-0.68) | (-1.57) | (-1.28) | (-2.31) | (-2.39) |
| **Panel C: Fama-MacBeth Regression - Active Investors** | | | | | | |
| Partisanship × | -0.03 | -0.26** | -0.41*** | -0.38*** | -0.34** | -0.49*** |
| Investor Alignment | (-0.23) | (-2.22) | (-3.71) | (-2.84) | (-2.62) | (-3.28) |
| **Panel D: Lagged Panel Regression - Active Investors** | | | | | | |
| Partisanship × | 0.05 | -0.03 | -0.15 | -0.34** | -0.37** | -0.62*** |
| Investor Alignment | (0.43) | (-0.23) | (-1.16) | (-2.50) | (-2.50) | (-3.41) |

## VI.4. Subperiod Analysis and Investor Attention

Table IA-19 re-estimates the baseline Fama-MacBeth regression over three subperiods: pre-2011, 2011–2016, and post-2016. The partisanship discount is present in the first and third subperiods and attenuated during the intermediate period. Section 3.2 of the main text provides the economic interpretation, linking these patterns to a three-phase decomposition of the transition to heightened polarization.

**Table IA-19: Subperiod Fama-MacBeth Regression**

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over three different sample periods. Model (1) covers the period from 1990 until the end of 2010. Model (2) covers the period from 2011 until the end of 2016. Model (3) covers the period after 2016. All models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | Pre 2011<br>(1) | 2011-2016<br>(2) | Post 2016<br>(3) |
|---|---|---|---|
| Partisanship | -0.17*** | -0.10 | -0.24* |
| | (-2.76) | (-1.52) | (-1.89) |
| Controls | Yes | Yes | Yes |
| Industry FE | Yes | Yes | Yes |
| Observations | 394,100 | 114,840 | 98,718 |
| $R^2$ | 0.26 | 0.26 | 0.30 |

Table IA-20 splits the sample along the election cycle, estimating the baseline Fama-MacBeth regression separately for presidential election years and off-cycle years. The partisanship discount is present in both subsamples and roughly three times larger in election years. As discussed in Section 4.5 of the main text, the off-cycle persistence distinguishes the demand-based mechanism from purely attention-driven explanations. At the same time, the election-year amplification is consistent with state-dependent ideological demand.

Table IA-21 examines heterogeneity with respect to investor attention, proxied by

**Table IA-20: Election Cycle Split Fama-MacBeth Regression**
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over two different sample periods. Model (1) restricts to years of presidential elections. Model (2) covers the years without presidential elections. All models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | Election Year (1) | Off Cycle (2) |
|---|---|---|
| Partisanship | -0.33*** | -0.11** |
| | (-2.67) | (-2.47) |
| Controls | Yes | Yes |
| Industry FE | Yes | Yes |
| Observations | 149,420 | 458,238 |
| $R^2$ | 0.27 | 0.27 |

the average number of analysts covering the firm over the previous twelve months. Analyst coverage itself is positively related to returns in this sample, but its interaction with partisanship is economically negligible and statistically insignificant, and the main effect of partisanship is unaffected. The pricing of partisanship therefore does not vary with the breadth of a firm's information environment (see Section 4.5).

## VI.5. Deviations from Neutrality

Table IA-22 reports a panel regression in which monthly returns are regressed on an indicator for the period after the first deviation from neutrality, alongside controls and fixed effects. Because the specification includes firm fixed effects, identification comes from within-firm changes around the onset of a salient partisan identity. I interpret this regression as a complementary within-firm timing check. It provides evidence that the same firm exhibits weaker returns after becoming politically non-neutral, consistent with event-time dynamics and the equilibrium mechanism in which a demand-driven valuation wedge is associated with lower subsequent returns.

**Table IA-21: Fama-MacBeth Regression with Analyst Coverage**

This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and analyst coverage measured as the average number of analysts covering the firm over the past 12 months. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. Both models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | (1) | (2) |
|---|---|---|
| Partisanship | -0.12*** | -0.16** |
| | (-2.67) | (-1.99) |
| Analyst Coverage | 0.03*** | 0.03*** |
| | (3.58) | (3.12) |
| Partisanship × Analyst Coverage | | 0.00 |
| | | (0.72) |
| Controls | Yes | Yes |
| Industry FE | Yes | Yes |
| Observations | 555,992 | 555,992 |
| $R^2$ | 0.30 | 0.30 |

I next examine trading activity around the first deviation from neutrality. This analysis complements the turnover results in the main text by using log dollar volume as an alternative measure of trading intensity. Figure IA-1 reports coefficient estimates from a stacked event-time regression of log dollar volume on monthly relative-time indicators over the six months before and after the deviation. The specification uses the same benchmark design as the return event study in Figure 2. The pre-event coefficients are close to zero and statistically insignificant, while the coefficient at $t = 0$ is positive and statistically significant. The result indicates that trading activity increases discretely when the partisan signal becomes observable, consistent with investors responding to the newly revealed partisan stance.

I also examine whether the composition of the shareholder base changes in the direction predicted by the demand mechanism. For this test, I use investor-level

**Table IA-22: Partisanship Panel Specification**

This table shows regression estimates of monthly returns on a dummy variable indicating the period after the initial deviation from neutrality. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include month × industry fixed effects based on 2-digit SIC codes and firm fixed effects. The *t*-statistics shown in parentheses are calculated using standard errors clustered at the firm and month level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

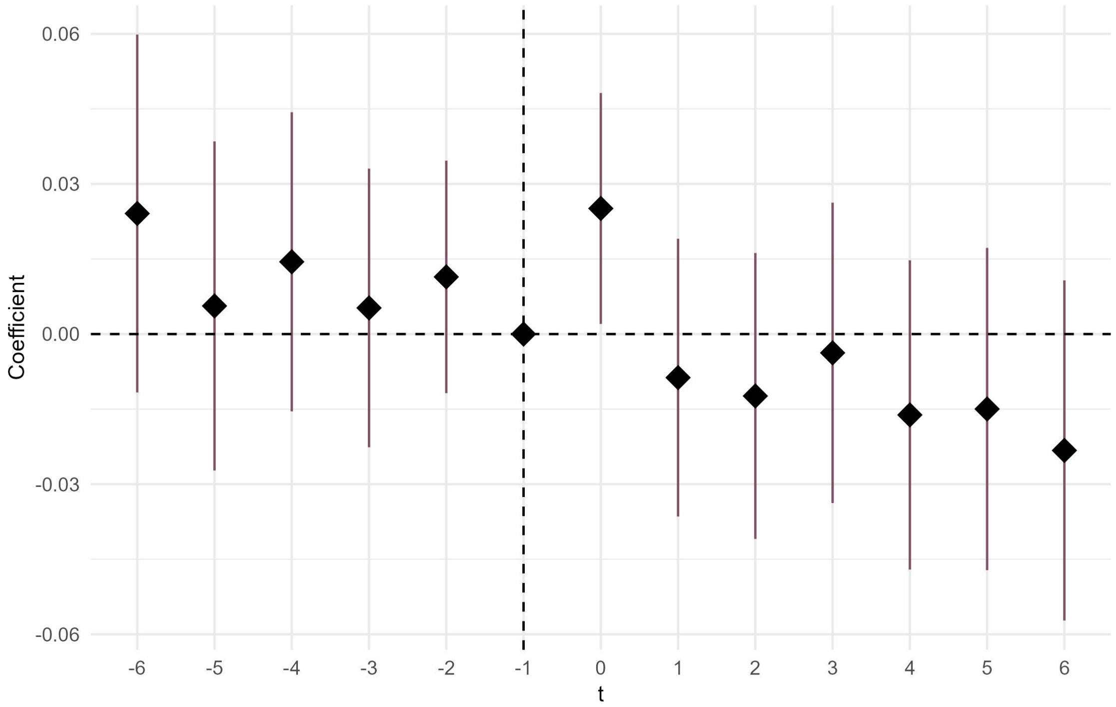
| | |
|---|---|
| Post | -0.20* |
| | (-1.88) |
| Controls | Yes |
| Industry × Month FE | Yes |
| Firm FE | Yes |
| Observations | 607,658 |
| Adjusted $R^2$ | 0.21 |

political-demand coefficients estimated two years before the deviation and hold these coefficients fixed throughout the event window. The test therefore captures whether firms that become politically salient attract investors with pre-existing demand for firms with the corresponding political orientation. For each firm-quarter, I compute the ownership-weighted average of active investors' frozen political-demand coefficients and multiply this measure by the sign of the firm's first deviation. Positive values indicate that the active shareholder base becomes more aligned with the firm's revealed partisan direction. Figure IA-2 reports the corresponding dynamic estimates over the two quarters before and after the deviation. The coefficient at $q = 1$ is positive, indicating that ownership-weighted investor demand moves in the direction of the firm's newly revealed partisan stance in the first full quarter after the event. The coefficient remains positive at $q = 2$, although it is not statistically significant. The wide confidence intervals are expected given the quarterly frequency of institutional holdings data and the limited number of event-quarter observations.

Table IA-23 reports stacked event-window regressions for the ownership-side outcomes. Models (1) and (2) use signed ownership-weighted investor demand as the

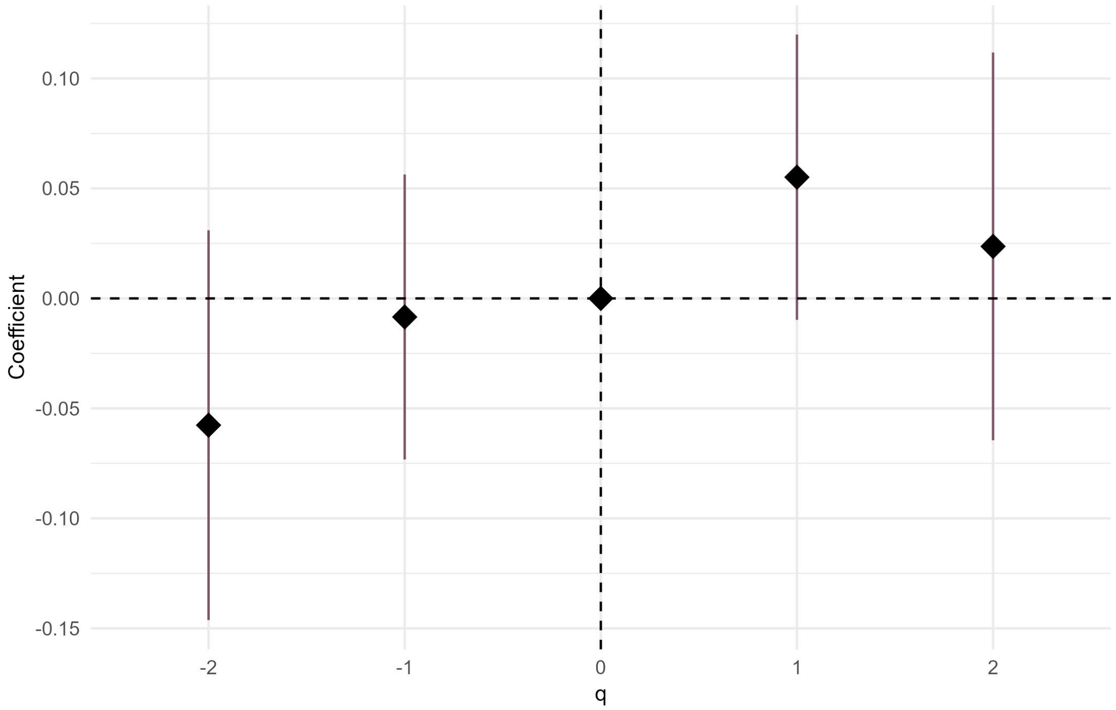
**Figure IA-1: Volume Dynamics of Deviation from Neutrality**

This figure shows coefficient estimates and corresponding 95% confidence intervals from a stacked event-time regression of log dollar volume on relative-month indicators around firms' first deviations from political neutrality. Event firms are those for which the first deviation from neutrality occurs between months $t = -1$ and $t = 0$. The coefficient at $t = 0$ captures the log dollar volume in the first full month after the partisan signal becomes observable via FEC filings. The benchmark sample consists of firms that remain neutral throughout the corresponding window (until two years after the event firm's deviation month). The specification includes month $\times$ benchmark and firm $\times$ benchmark fixed effects. Standard errors are clustered at the firm level.




dependent variable. Models (3) and (4) use net aligned ownership, defined as ownership by investors in the aligned tail of the frozen demand distribution minus ownership by investors in the misaligned tail. The specifications use symmetric windows of one and two quarters around the deviation. The coefficient of interest is the post-event differential for event firms relative to benchmark firms. The ownership-weighted demand measure increases by 0.06 standard deviations in the one-quarter window, with a $t$-statistic of 1.87. The estimate remains positive in the two-quarter window but is less precisely estimated. The net-aligned ownership measure displays a qualitatively similar pattern but remains statistically insignificant.

**Figure IA-2: Demand Dynamics of Deviation from Neutrality**
This figure shows coefficient estimates and corresponding 95% confidence intervals from a stacked event-time regression of aligned ownership-weighted demand on relative-quarter indicators around firms' first deviations from political neutrality. Investor demand is measured using investor-level political-demand coefficients estimated two years before the event and held fixed throughout the event window. The dependent variable equals the ownership-weighted average of these frozen demand coefficients, multiplied by the sign of the firm's first partisan deviation, and scaled by the pre-event benchmark-firm standard deviation within each event stack. Event firms are those for which the first deviation from neutrality occurs in quarter $q = 0$. The coefficient at $q = 1$ captures the investor demand in the first full quarter after the partisan signal becomes observable via FEC filings. Benchmark firms remain neutral throughout the corresponding window (until two years after the deviation quarter of the event firm). They are assigned to the same party-specific cohort based on their eventual political orientation over the full sample period. The specification includes quarter $\times$ benchmark and firm $\times$ benchmark fixed effects. Standard errors are clustered at the firm level.



Overall, the evidence suggests that the first partisan signal is followed by a short-run shift in the active shareholder base toward investors with pre-existing demand for the firm's revealed political orientation. Because the test uses quarterly 13F holdings and freezes investor demand two years before the event, I interpret these results as suggestive quantity-side evidence rather than as a definitive reallocation estimate.

**Table IA-23: Demand Stacked Event-Window Regressions**

This table shows stacked event-window regressions of ownership-side outcomes around firms' first deviations from political neutrality. The specifications use symmetric event windows of 1 and 2 quarters before and after the deviation. Models (1) and (2) use signed ownership-weighted investor demand as the dependent variable. Investor demand is measured using investor-level political-demand coefficients estimated two years before the event and held fixed throughout the event window. The outcome is multiplied by the sign of the firm's first partisan deviation and scaled by the pre-event benchmark-firm standard deviation within each event stack. Models (3) and (4) use net-aligned ownership, defined as ownership by investors in the aligned tail of the frozen demand distribution minus ownership by investors in the misaligned tail. Event firms are firms whose first deviation from neutrality occurs in quarter $q = 0$. Benchmark firms remain neutral throughout the corresponding event window (until two years after the deviation quarter of the event firm) and are assigned to the same party-specific cohort based on their eventual political orientation over the full sample period. All models include quarter $\times$ benchmark and firm $\times$ benchmark fixed effects. The $t$-statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | Investor Leaning | | Net Aligned Ownership | |
|---|---|---|---|---|
| | [-1,1] | [-2,2] | [-1,1] | [-2,2] |
| | (1) | (2) | (3) | (4) |
| Post $\times$ Deviation | 0.06* | 0.06 | 0.05 | 0.03 |
| | (1.87) | (1.46) | (1.60) | (0.93) |
| Month FE | Yes | Yes | Yes | Yes |
| Firm FE | Yes | Yes | Yes | Yes |
| Observations | 18,523 | 30,891 | 18,529 | 30,901 |
| Adjusted $R^2$ | 0.80 | 0.72 | 0.83 | 0.76 |

Table IA-24 examines the determinants of the initial deviation from neutrality. The sample is restricted to firm-months in which the firm has not yet deviated, and an indicator equal to one in the month of the first observed deviation is regressed on lagged firm and CEO characteristics using probit and linear probability specifications. Past returns over the preceding 6- and 12-month periods do not predict the onset of a partisan stance, mitigating the concern that CEOs time their first donations in response to recent performance. The propensity to deviate increases with firm size and declines sharply with CEO tenure, consistent with first donations occurring early in a CEO's tenure for largely mechanical reasons. These results complement the pre-event evidence in Figure 2 and support the timing interpretation in Section 4.1.

## VI.6. Political Risk

Table IA-25 presents the double sorts on exposure to economic policy uncertainty discussed in Section 4.4; the partisanship discount is unaffected by cross-sectional variation in EPU sensitivity.

## VI.7. Operating Performance

In principle, the negative return differential could be driven by negative earnings surprises following a firm's adoption of a salient political stance. To assess whether this is the case, I estimate annual panel regressions in which earnings surprises are regressed on partisanship and political leaning, with interaction terms, as in Section 4.3. Earnings surprises are defined following Foster et al. (1984). First, I subtract the average earnings-per-share growth over the preceding two years from the current earnings-per-share growth. Second, this value is standardized. In the first two columns of Table IA-26, I examine whether partisanship and the leaning direction can explain contemporaneous earnings surprises. In the third and fourth columns, I test whether partisanship and the direction of leaning can predict future earnings surprises. All regression setups indicate that neither partisanship nor ideological leaning significantly influences contemporaneous or future earnings surprises, providing further evidence that a systematic worsening in earnings does not drive the partisanship discount in returns.

As a complementary check, I assess whether the partisanship discount is concen-

**Table IA-24: Determinants for Initial Deviation**

This table shows the results from regressions of an indicator for a firm's initial deviation from a politically neutral stance on lagged firm and CEO characteristics. The sample is restricted to firm-months in which the firm has not yet deviated from neutrality, such that the dependent variable equals one in the month of the first observed deviation and zero otherwise. Models (1) and (2) report probit coefficients, and Model (3) reports estimates from a linear probability model. $\text{Cum.Ret.}_6$ and $\text{Cum.Ret.}_{12}$ denote cumulative stock returns over the previous 6 and 12 months; all characteristics are lagged and standardized. All models include industry and year fixed effects. The z-statistics (Models (1) and (2)) and $t$-statistics (Model (3)) are shown in parentheses. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | Probit | | LPM |
|---|---|---|---|
| | (1) | (2) | (3) |
| $\text{Cum.Ret.}_6$ | 0.02 | -0.01 | 0.00 |
| | (0.61) | (-0.19) | (-0.17) |
| $\text{Cum.Ret.}_{12}$ | -0.02 | -0.01 | 0.00 |
| | (-1.61) | (-0.77) | (-1.14) |
| Log ME | 0.07*** | 0.05*** | 0.00*** |
| | (5.09) | (2.70) | (2.90) |
| Log B/M | 0.01 | -0.03 | 0.00 |
| | (0.94) | (-1.55) | (-1.12) |
| Profitability | -0.02* | -0.02 | 0.00 |
| | (-1.67) | (-1.30) | (-1.09) |
| Leverage | 0.03*** | 0.02 | 0.00 |
| | (2.59) | (1.40) | (0.97) |
| Tangibility | 0.03* | 0.02 | 0.00 |
| | (1.68) | (1.15) | (1.07) |
| Earnings Growth | -0.01 | 0.00 | 0.00 |
| | (-0.62) | (-0.11) | (-0.10) |
| $\beta_{MKT}$ | -0.02 | -0.02 | 0.00 |
| | (-1.34) | (-1.18) | (-1.02) |
| IVOL | 0.02* | 0.02 | 0.00 |
| | (1.73) | (1.12) | (1.18) |
| Log CEO Tenure | | -0.22*** | -0.01*** |
| | | (-17.98) | (-13.53) |
| Industry FE | Yes | Yes | Yes |
| Year FE | Yes | Yes | Yes |
| Observations | 104,246 | 75,260 | 75,260 |
| Log Likelihood | -7,456.09 | -4,766.58 | |
| AIC | 15,018.18 | 9,635.15 | |
| Pseudo $R^2$ (McFadden) | 0.03 | 0.06 | |
| Adjusted $R^2$ | | | 0.01 |

**Table IA-25: Bivariate Portfolio Sorting with Political Risk Exposure**
This table presents the average monthly excess returns for two × three portfolios dependently sorted on firms' sensitivity to changes in economic policy uncertainty (EPU) based on Baker et al. (2016) and then on the level of partisanship. The sorting on the exposure to changes in EPU is reported across rows L and H, containing low and high exposure firms, respectively. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The $t$-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | E[R]-$R_f$ (%) | | | | $\alpha_{FF6}$ | | | |
|---|---|---|---|---|---|---|---|---|
| | N | L | H | H-N | N | L | H | H-N |
| L | 1.54*** | 1.12*** | 1.15*** | -0.39*** | 0.80*** | 0.36*** | 0.35*** | -0.44*** |
| | (4.66) | (4.07) | (3.92) | (-3.98) | (7.84) | (5.00) | (4.33) | (-4.96) |
| H | 1.50*** | 1.06*** | 1.10*** | -0.40*** | 0.73*** | 0.22*** | 0.26*** | -0.46*** |
| | (5.22) | (4.19) | (4.23) | (-4.17) | (5.80) | (3.53) | (3.33) | (-4.36) |

trated in specific industry groups where alternative, non-demand channels are most likely to operate. First, if the return differential were driven by political connections or exposure to policy-sensitive sectors rather than demand-based pricing, one would expect the partisanship coefficient to be subsumed or significantly altered when interacting with industry sensitivity. I classify firms in coal, oil, utilities, healthcare, and defense as operating in politically sensitive industries based on the Fama-French 49 Industry classification. Model (1) of Table IA-27 reports the results from a Fama-MacBeth regression including a sensitive industry dummy and its interaction with partisanship. The interaction term is positive but not statistically significant, indicating that the partisanship discount is neither concentrated in nor driven by politically sensitive sectors. Second, if the partisanship discount reflected cash-flow risk from consumer backlash against partisan firms rather than investor demand, it should be strongest for consumer-facing firms, where individual purchasing decisions can directly affect revenue. Model (2) interacts partisanship with a consumer-facing industry indicator. The interaction is insignificant, and the main partisanship effect remains negative (see Section 4.3 for the economic interpretation).

**Table IA-26: Earnings Surprise Regression**
This table shows the results from annual panel regressions, where earnings surprises are regressed on firms' political partisanship and political leaning. Earnings surprises are defined following Foster et al. (1984) as the earnings growth minus average earnings growth over the preceding two years. In Models (1) and (2), the dependent variable is concurrent standardized earnings surprises. In Models (3) and (4), the dependent variable is standardized earnings surprises in the subsequent year. Models (1) and (3) include firms' political partisanship. Models (2) and (4) use firms' political partisanship interacted with the direction of the political leaning. The sample covers the period from 1990 to 2022. All models control for other firm characteristics, which are standardized, and include industry fixed effects based on 2-digit SIC codes and year fixed effects. The $t$-statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | Current Earnings Surprise | | Future Earnings Surprise | |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| Partisanship | 0.02 | | 0.01 | |
| | (1.16) | | (0.40) | |
| Partisanship × Rep. | | 0.02 | | 0.01 |
| | | (1.11) | | (0.32) |
| Partisanship × Dem. | | 0.02 | | 0.01 |
| | | (1.28) | | (0.64) |
| Log ME | -0.01 | -0.01 | -0.00 | -0.00 |
| | (-1.55) | (-1.54) | (-0.59) | (-0.58) |
| Log B/M | 0.01 | 0.01 | 0.01 | 0.01 |
| | (0.86) | (0.86) | (0.89) | (0.89) |
| Profitability | 0.03 | 0.03 | 0.01 | 0.01 |
| | (1.20) | (1.20) | (1.01) | (1.01) |
| Leverage | 0.01 | 0.01 | 0.00 | 0.003 |
| | (1.11) | (1.11) | (1.17) | (1.17) |
| Tangibility | 0.00 | 0.00 | 0.01 | 0.01 |
| | (0.78) | (0.81) | (0.98) | (0.99) |
| Year FE | Yes | Yes | Yes | Yes |
| Industry FE | Yes | Yes | Yes | Yes |
| Observations | 50,515 | 50,515 | 53,927 | 53,927 |
| Adjusted $R^2$ | 0.001 | 0.001 | 0.0003 | 0.0003 |

**Table IA-27: Fama-MacBeth Regression with Sensitive Industries**

This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and a dummy variable indicating whether the firm operates in a specific industry group. In Model (1), this group consists of politically sensitive industries (coal, oil, utilities, healthcare, defense) based on the Fama-French 49 Industry classification. In Model (2), this group consists of consumer-facing industries (food products, candy and soda, beer and liquor, tobacco, entertainment, consumer goods, apparel, automobiles, retail, and restaurants and hotels) based on the Fama-French 49 Industry classification. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

| | (1) | (2) |
|---|---|---|
| Partisanship | -0.20*** | -0.16*** |
| | (-3.93) | (-2.73) |
| Sensitive Industry | -0.08 | |
| | (-0.48) | |
| Partisanship × Sensitive Industry | 0.14 | |
| | (0.67) | |
| Consumer-Facing Industry | | -0.08 |
| | | (-0.59) |
| Partisanship × Consumer-Facing Industry | | -0.07 |
| | | (-0.78) |
| Controls | Yes | Yes |
| Observations | 607,658 | 607,658 |
| $R^2$ | 0.25 | 0.25 |